



COMMERCIAL FRAMEWORK

Payment Terms & Billing Policy

Software Engineering & Technology Delivery

Document framework	Definition
Document Reference	DL-PAY-001
Version	1.0
Classification	Commercial / Controlled Distribution
Currency	EUR (€), unless otherwise agreed
Document Role	Master Payment Terms framework

How this document is used

This policy is the master DISTILLOGIC payment framework. Client proposals do not reproduce all 34 sections; they select and incorporate only the terms relevant to the specific engagement, subject to the applicable contract.

Complexity distilled. Technology delivered.

1. PURPOSE

This Payment Terms & Billing Policy defines the standard commercial framework used by DISTILLOGIC TECHNOLOGIES for invoicing, mobilisation payments, milestone billing, recurring services, payment deadlines and overdue balances.

Its purpose is to establish clear payment expectations, protect project cash flow, support predictable delivery, align billing with the engagement model, avoid excessive financial exposure and maintain transparent client relationships.

Specific terms may be adapted and shall be confirmed in the applicable Proposal, Statement of Work, Master Services Agreement, Purchase Order or other contractual document.

2. COMMERCIAL PRINCIPLE

DISTILLOGIC does not apply a single payment model to every engagement. The structure reflects both client value and the financial commitment required from DISTILLOGIC.

- project type, scope, duration and delivery model
- team size and mobilisation requirements
- client credit profile, payment cycle and contractual risk
- delivery milestones, support obligations and resource commitment

2A. COMMERCIAL AUTHORISATION & PURCHASE ORDERS

Billable services should commence only after the applicable commercial authorisation has been received.

Commercial authorisation may consist of:

- an executed Statement of Work
- an approved Purchase Order
- a Call-Off Order
- an executed commercial proposal
- a signed contract
- or another written authorisation accepted by DISTILLOGIC

Where the client's procurement process requires a Purchase Order, DISTILLOGIC shall normally require a valid Purchase Order covering the applicable scope and commercial value before commencing billable delivery.

Verbal instructions alone should not normally be considered sufficient authority to incur material project costs or reserve significant engineering capacity.

2B. NO BILLABLE WORK WITHOUT AUTHORISATION

DISTILLOGIC personnel should not commence material billable work, additional scope or resource mobilisation without appropriate commercial authorisation.

Where a client requests work outside an existing authorised scope, the additional work should be covered by an approved:

- Change Request
- Purchase Order amendment
- additional Statement of Work
- Call-Off
- or equivalent written commercial authorisation

This principle is intended to prevent delivery of work for which no valid commercial commitment exists.

3. STANDARD PAYMENT MODELS

Engagement Type	Standard Billing Structure
Fixed-Price Project	Mobilisation payment + milestone payments
Work Package	Mobilisation payment + milestone or monthly progress billing
Time & Materials	Monthly billing based on approved effort
Dedicated Engineering Team	Fixed monthly fee or monthly capacity billing
Staff Augmentation	Monthly billing based on actual approved effort
Application Management	Monthly retainer and/or variable usage
Managed Services	Recurring monthly fee
Discovery / Assessment / PoC	Advance or milestone-based billing

4. FIXED-PRICE PROJECTS

Fixed-price projects normally require an initial mobilisation payment followed by milestone billing. The exact distribution may change according to duration, complexity, risk and client requirements.

Standard Structure

Stage	Indicative Payment
Contract Signature / Mobilisation	20%
Delivery Milestone 1	30%
Delivery Milestone 2 / UAT	30%
Final Acceptance / Go-Live	20%

Higher-risk or new-client engagements

DISTILLOGIC may request a 30% mobilisation payment, with the remaining project value distributed across agreed milestones.

5. MOBILISATION PAYMENT

A mobilisation payment may be required before reserving capacity, assigning personnel, setting up the project, provisioning environments, starting architecture or discovery, or incurring third-party costs. Unless expressly stated otherwise, it is applied toward the total project value.

6. WORK PACKAGE DELIVERY

The applicable approach shall be specified in the relevant Statement of Work.

- Option A - Mobilisation + Milestones: for clearly defined scope and deliverables
- Option B - Monthly Progress Billing: for work packages spanning several months
- Option C - Capped Time & Materials: actual effort up to an agreed ceiling
- Option D - Milestone-Based Fixed Price: payments released against agreed milestones

7. TIME & MATERIALS

Billing is based on actual approved effort. Unless otherwise agreed, services are invoiced monthly in arrears and may be supported by timesheets, sprint reports, activity records, approved work logs or delivery reports.

Delivery Flow	Commercial Trigger
1. Engineering Work	Approved services are performed
2. Delivery Record	Timesheet or equivalent evidence
3. Client Approval	Effort is reviewed and approved
4. Monthly Invoice	Invoice is issued
5. Payment	Settlement under agreed terms

8. DEDICATED ENGINEERING TEAMS

Dedicated teams may use a fixed monthly fee or monthly resource-based billing. The arrangement may include reserved capacity, coordination, technical leadership, delivery management, standard tools, infrastructure and reporting. The first month or a mobilisation amount may be requested in advance where significant reservation is required.

9. STAFF AUGMENTATION

Staff augmentation is normally invoiced monthly according to approved effort. The agreement should define rates, working day, expected capacity, overtime, holidays, notice, replacement and travel requirements.

10. APPLICATION MANAGEMENT & MANAGED SERVICES

Recurring application services may use a monthly retainer, retainer plus variable usage, or Time & Materials. Where service levels apply, pricing may account for service windows, response times, on-call coverage, severity levels, monitoring and service management.

11. DISCOVERY, ASSESSMENT & PROOF OF CONCEPT

Discovery, architecture assessment, prototypes and proofs of concept are normally paid engagements and may require full advance payment, partial advance payment or milestone billing.

- requirements assessment and architecture review
- technical feasibility analysis and proof of concept
- prototype, technical audit and delivery planning

12. STANDARD PAYMENT TERMS

Unless otherwise agreed in writing, DISTILLOGIC's standard client payment term is:

Net 30

Payment shall normally be due within thirty (30) calendar days from the date of a valid and undisputed invoice.

Alternative payment terms may be agreed according to the commercial circumstances of the engagement.

Accelerated Terms

Shorter payment periods, including Net 15, may be agreed between the Parties where appropriate.

Extended Terms

Payment terms of Net 45 or Net 60 may be considered subject to commercial approval.

When evaluating extended payment terms, DISTILLOGIC may consider:

- client credit profile
- total contract value
- expected commercial margin
- project duration
- number of dedicated resources
- accumulated financial exposure
- payment history
- procurement requirements
- strategic value of the relationship

Extended payment terms may affect the applicable commercial pricing or payment structure where they create material financing exposure.

Payment terms beyond Net 60 require specific management approval.

13. PAYMENT TERM CALCULATION

Unless otherwise agreed, the payment period begins on the valid invoice date, not the start date of the work. Example: invoice dated 1 May under Net 30 is due 31 May.

14. INVOICE FREQUENCY

- Monthly - Time & Materials, dedicated teams, staff augmentation and ongoing application services
- Per Milestone - fixed-price projects and defined work packages
- Advance + Milestones - new projects, resource-intensive mobilisation and major upfront commitment
- Recurring Retainer - managed services, application management and reserved support capacity

14A. INVOICE REQUIREMENTS

Invoices shall be issued in accordance with applicable legal, tax and contractual requirements.

Where required by the client or applicable engagement, an invoice may include:

- DISTILLOGIC legal entity details
- client legal entity details
- VAT / tax identification numbers
- invoice number and invoice date
- Purchase Order number
- Statement of Work or contract reference
- project or engagement reference
- applicable billing period
- description of services
- approved hours or days, where applicable
- milestone reference, where applicable
- applicable rates and amounts
- VAT or other tax treatment
- total amount payable
- currency
- payment due date
- bank account / IBAN details

Supporting documentation may include:

- approved timesheets

- milestone acceptance
- delivery reports
- Purchase Order documentation
- other records required under the applicable client procurement process

DISTILLOGIC and the client should agree any material invoice-format or procurement requirements before the first invoice is issued.

14B. PURCHASE ORDER VALUE

Where services are delivered against a Purchase Order, the responsible project and commercial teams should monitor the remaining authorised Purchase Order value.

DISTILLOGIC should not knowingly exceed the authorised Purchase Order value without:

- an amended Purchase Order
- a new Purchase Order
- a Change Request
- or other written commercial authorisation

The client should be notified sufficiently in advance where authorised commercial value is approaching exhaustion.

15. MILESTONE ACCEPTANCE

The Statement of Work should define the milestone deliverable, acceptance criteria, delivery date, review period and rejection procedure. A typical review period is 5-10 business days. The client should confirm acceptance or provide documented, specific reasons for rejection tied to the agreed criteria.

16. DELAYED CLIENT APPROVAL

Client review should not create indefinite billing delay. Where expressly agreed, a deliverable may be deemed accepted if the review period expires without material written rejection, the client uses it in production, or proceeds to the next stage.

17. DISPUTED INVOICES

The client should promptly identify the invoice, disputed amount, specific reason and supporting details. The undisputed portion of the invoice shall remain payable according to the original payment terms unless otherwise agreed. The Parties should resolve disputes promptly and in good faith.

A dispute relating to one invoice or one portion of an invoice shall not automatically suspend payment of other valid and undisputed invoices.

18. CHANGE REQUESTS

Work outside scope is not automatically included in the original price. A Change Request may adjust project value, milestones, payment schedule, timeline, team or capacity. Where practicable, additional work should not begin until its commercial impact is agreed.

19. LATE PAYMENT

Invoices should be paid by the due date. For overdue invoices, DISTILLOGIC may issue reminders, request immediate settlement, escalate through authorised contacts, apply contractual or statutory remedies, and suspend further services where permitted. Interest, fees and collection costs remain governed by contract and applicable law.

20. RIGHT TO SUSPEND SERVICES

Following reasonable written notice of material non-payment, DISTILLOGIC may reserve the right to suspend development, support, resource allocation, future releases or additional work, subject to contract. Such suspension should not be treated as voluntary abandonment by DISTILLOGIC.

Before suspending services for non-payment, DISTILLOGIC shall normally provide written notice and a reasonable opportunity to cure the overdue payment, except where immediate action is justified by material financial risk or other exceptional circumstances.

21. RESOURCE RESERVATION

Where specialist resources are reserved for a client, DISTILLOGIC may require advance payment, a committed minimum period, minimum monthly capacity and agreed cancellation notice.

22. CANCELLATION & EARLY TERMINATION

The applicable agreement should define notice, payment for completed work, committed resource costs, non-cancellable third-party expenses, authorised work in progress and transition obligations. All completed and authorised work up to termination remains payable.

23. ONSITE WORK & EXPENSES

Unless expressly included, flights, accommodation, local transport, visas, subsistence, approved travel and necessary onsite costs may be invoiced separately. Arrangements should be agreed before costs are incurred.

24. OVERTIME & NON-STANDARD HOURS

Separate terms may apply to overtime, weekends, public holidays, night work, emergency support and on-call coverage. Non-standard work should normally require prior client approval.

25. TAXES

All prices and fees are exclusive of VAT and applicable taxes unless expressly stated otherwise. Tax treatment follows the applicable jurisdiction and contractual structure.

26. CURRENCY

The standard currency for European engagements is EUR (€). Other currencies may be accepted where appropriate, and material currency risk may require fluctuation provisions.

27. THIRD-PARTY COSTS

Cloud consumption, licences, specialist tools, external services, travel and project subscriptions may be included in the fee, billed at cost, billed with an agreed administration fee, or purchased directly by the client. Treatment should be agreed before the cost is incurred.

28. PAYMENT SCHEDULE EXAMPLES

Example A - Fixed Project | Project Value: €100,000

Stage	Payment
Mobilisation	€20,000
Milestone 1	€30,000
Milestone 2 / UAT	€30,000
Final Acceptance	€20,000
Total	€100,000

Example B - Dedicated Team | Monthly Team Fee: €40,000

Period	Billing
Month 1	€40,000
Month 2	€40,000
Month 3	€40,000
Month 4	€40,000

Subject to the agreed contract duration and resource commitment.

Example C - Time & Materials

Resource	Approved Hours	Rate	Amount
Senior Engineer	160	€70	€11,200
Senior Engineer	160	€70	€11,200
QA Engineer	160	€55	€8,800
Monthly Invoice			€31,200

29. COMMERCIAL FLEXIBILITY

The structures in this policy are DISTILLOGIC's standard framework. Final arrangements may reflect project size, duration, client profile, risk, team commitment, payment reliability, partnership potential and procurement requirements.

- reduced mobilisation percentage
- different milestone distribution
- Net 30 instead of Net 15
- monthly rather than milestone billing
- blended payment structures

Commercial sustainability

Any deviation from the standard framework must remain commercially sustainable for DISTILLOGIC.

30. PRIORITY PRINCIPLE

DISTILLOGIC should not finance an excessive portion of delivery on behalf of the client. The structure should balance client protection through payments linked to real progress with DISTILLOGIC protection through adequate cash flow.

31. DOCUMENT HIERARCHY

This policy provides the standard framework. Client-specific terms are incorporated through the following document chain. Any contractual order of precedence must be stated in the applicable agreement.

Order	Document
1	Payment Terms & Billing Policy
2	Commercial Proposal
3	Statement of Work

Order	Document
4	Master Services Agreement
5	Purchase Order / Call-Off
6	Invoice

32. APPROVAL OF EXCEPTIONS

Material exceptions require DISTILLOGIC management approval.

- Net 60+ payment terms
- delivery without mobilisation payment
- unusually high final-payment percentage
- substantial resource reservation without commitment
- extended free credit
- exceptional cancellation rights

32A. CREDIT EXPOSURE MANAGEMENT

DISTILLOGIC may establish internal credit limits or maximum financial exposure levels for individual clients and engagements.

Credit exposure may include:

- unpaid invoices
- completed but unbilled work
- committed engineering costs
- reserved team capacity
- approved third-party expenses

Where exposure materially exceeds the approved commercial level, management may require corrective action before additional financial exposure is accepted.

Possible actions may include:

- settlement of overdue balances
- more frequent invoicing
- milestone billing
- advance payment
- revised payment terms
- reduced resource commitment

Internal credit limits are confidential and are not required to be disclosed to the client.

33. CLIENT COMMUNICATION

Terms should be clear before mobilisation. The client should understand invoice timing and triggers, due dates, milestone acceptance, additional scope, expenses and consequences of material late payment.

34. FINAL COMMERCIAL PRINCIPLE

DISTILLOGIC maintains fair and transparent terms that support long-term relationships while protecting the financial sustainability of each engagement.

Engagement	Preferred Structure
Fixed Projects	Mobilisation Payment + Progress / Milestone Billing + Limited Final Balance
Time & Materials	Monthly Billing Based on Approved Actual Effort
Dedicated Teams	Fixed Monthly Fee or Agreed Capacity Billing
Managed Services	Monthly Retainer and/or Variable Usage

COMMERCIAL CONTACT

Contact point	Details
Company	DISTILLOGIC TECHNOLOGIES
Location	Patras, Greece · European Union
Website	distillogic.gr
Commercial enquiries	info@distillogic.gr
Project enquiries	info@distillogic.gr
Telephone	Available on request

Legal & Accounting Review Notice

This document establishes DISTILLOGIC's standard commercial framework. Client-specific contractual clauses, taxation treatment, late-payment provisions, suspension rights and cross-border arrangements should be reviewed by the company's legal and accounting advisers before formal execution where required.

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